

Solutions:

1. a. 20 Vanilla Ice cream

b. Snowy

c. Delight

d. Frosty

2. Country A gives up 1 cloth per food

Country B gives up 0.83 cloth per food

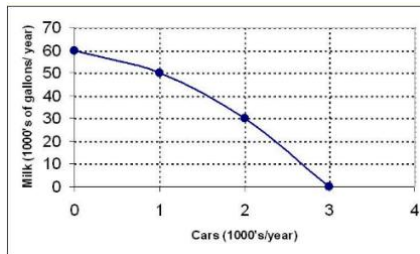
Country B has the comparative advantage in Food

Country A gives up 1 food per cloth

Country B gives up 1.2 food per cloth

Country A has the comparative advantage in Clothes

3. a.



c.

Points	Cars	Milk (1000's of gallons/year)	Opportunity Cost of producing cars
A	0	60	
B	1	50	10
C	2	30	20
D	3	0	30

4 a. 1 wrap- 1 juice

b. 1 wrap- $\frac{1}{2}$ juice

c. Anna.

d. Anna - 14 Juice, 12 wraps.

Leo- 6 juice, 18 wraps.

5. a. Absolute advantage in scarves: John
- b. Absolute advantage in shirts: John
- c. Comparative advantage: Maria in shirts and John in scarves